
ANNUAL REPORT & FINANCIAL STATEMENTS*For the Financial Year ended 31st March, 2026***Vantage Precision Engineering Limited***(formerly Vantage Precision Engineering Private Limited)*

CIN: U28920PN2015PLC154823

Registered Office: Plot No. C-42, MIDC Industrial Area, Bhosari, Pune – 411 026, Maharashtra, India

Email: cosec@vantageprecision.co.in | Website: www.vantageprecision.co.in | Tel: +91 20 6712 4400

Corporate Information**Board of Directors:** Mr. Arvind Madhukar Kulkarni (Chairman & Managing Director), Mrs. Snehal Arvind Kulkarni (Whole-time Director), Mr. Prakash Narayan Rao (Independent Director), Ms. Meera Suresh Iyer (Independent Director)**Chief Financial Officer:** Mr. Rohan Vishwas Deshmukh**Company Secretary & Compliance Officer:** Ms. Ananya Bhatt, ACS 45678**Statutory Auditors:** M/s. Sharma Chawla & Associates, Chartered Accountants, FRN 118523W, 301, Kumar Business Centre, Bund Garden Road, Pune – 411 001**Bankers:** HDFC Bank Limited; ICICI Bank Limited; Bank of Baroda**Registrar & Share Transfer Agent:** Link Kinetic Registry Services Private Limited, C-101, 247 Park, L.B.S. Marg, Vikhroli (West), Mumbai – 400 083**Registered Office:** Plot No. C-42, MIDC Industrial Area, Bhosari, Pune – 411 026, Maharashtra, India**Works:** Plot No. C-42, Bhosari (Unit I); Plot No. D-12, MIDC Industrial Area, Chakan Phase-II, Pune – 410 501, Maharashtra (Unit II)

This Annual Report has been approved by the Board of Directors at its meeting held on 09th May, 2026 and is subject to adoption by the members at the ensuing Annual General Meeting. Figures for Fiscal 2024 and Fiscal 2025 have been regrouped/reclassified wherever necessary to conform to the presentation adopted for Fiscal 2026, and are presented as restated for the purposes of inclusion in offer documents in accordance with the SEBI (ICDR) Regulations, 2018, as amended, and the Guidance Note on Reports in Company Prospectuses issued by the Institute of Chartered Accountants of India.

INDEPENDENT AUDITOR'S REPORT**To the Members of Vantage Precision Engineering Limited****Report on the Audit of the Standalone Financial Statements****Opinion**

We have audited the accompanying standalone financial statements of Vantage Precision Engineering Limited ("the Company"), which comprise the Balance Sheet as at 31st March, 2026, the Statement of Profit and Loss, the Statement of Cash Flows and the Statement of Changes in Equity for the year then ended, and notes to the financial statements, including a summary of material accounting policies and other explanatory information (hereinafter referred to as "the standalone financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2026, and its profit, cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements of the current period. We have determined the matter described below to be the key audit matter to be communicated in our report: (i) Recognition of revenue from sale of precision-engineered components, given rebates, quality-return provisions and volume discounts negotiated with original equipment manufacturer customers; and (ii) Valuation of inventory of raw material (forged steel billets) and work-in-progress, given price volatility in steel input costs during the year. Our audit procedures in relation to these matters included, among others, testing of the design and operating effectiveness of relevant controls, recomputation of discount accruals and physical verification of inventory on a sample basis at Unit I (Bhosari) and Unit II (Chakan).

Emphasis of Matter

We draw attention to Note 38 to the standalone financial statements regarding a demand of ₹1.85 crore raised by the Income Tax Department for Assessment Year 2021-22, presently pending before the Commissioner of Income Tax (Appeals), Pune, which the Company has disclosed as a contingent liability and against which no provision has been made in these financial statements for the reasons stated in the said note. Our opinion is not modified in respect of this matter.

Report on Other Legal and Regulatory Requirements

As required by Section 143(3) of the Act, we report that we have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit; proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books; and the Balance Sheet, the Statement of Profit and Loss, and the Statement of Cash Flow dealt with by this Report are in agreement with the books of account. In our opinion, the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls was not impaired as at 31st March, 2026, based on the internal control criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the ICAI.

For M/s. Sharma Chawla & Associates

Chartered Accountants

ICAI Firm Registration Number: 118523W

CA Nitin Sharma

Partner

Membership No. 112233

UDIN: 26112233ABCDEF

Place: Pune

Date: 09th May, 2026

BALANCE SHEET AS AT 31ST MARCH

(All amounts in ₹ Crore, unless otherwise stated)

I. EQUITY AND LIABILITIES

Particulars	Fiscal 2026	Fiscal 2025	Fiscal 2024
Equity Share Capital	₹ 31,90,00,000	₹ 31,90,00,000	₹ 31,90,00,000
Reserves and Surplus	₹ 356.80	₹ 298.40	₹ 254.10
(2) Non-Current Liabilities — Long-term Borrowings	₹ 142.60	₹ 138.90	₹ 121.30
(3) Current Liabilities — Trade Payables	₹ 78.40	₹ 68.90	₹ 60.10
Other Current Liabilities & Provisions	₹ 35.10	₹ 25.10	₹ 31.30
TOTAL	₹ 612.90	₹ 531.30	₹ 466.80

II. ASSETS

Particulars	Fiscal 2026	Fiscal 2025	Fiscal 2024
(1) Non-Current Assets — Property, Plant & Equipment	₹ 312.40	₹ 279.80	₹ 248.60
Capital Work-in-Progress	₹ 18.60	₹ 12.40	₹ 9.80
(2) Current Assets — Inventories	₹ 96.30	₹ 84.20	₹ 72.90
Trade Receivables	₹ 112.80	₹ 98.60	₹ 86.40
Cash and Bank Balances	₹ 24.60	₹ 18.90	₹ 14.20
TOTAL	₹ 612.90	₹ 531.30	₹ 466.80

Notes 1 to 45 form an integral part of the standalone financial statements. As per our report of even date attached, for and on behalf of the Board of Directors of Vantage Precision Engineering Limited.

STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31ST MARCH
(All amounts in ₹ Crore, unless otherwise stated)

Particulars	Fiscal 2026	Fiscal 2025	Fiscal 2024
Revenue from Operations	₹ 612.40	₹ 528.75	₹ 461.20
Other Income	₹ 6.85	₹ 5.40	₹ 4.65
Total Income	₹ 619.25	₹ 534.15	₹ 465.85
Cost of Materials Consumed	₹ 342.10	₹ 298.60	₹ 263.40
Employee Benefits Expense	₹ 68.90	₹ 59.35	₹ 51.20
Finance Costs	₹ 14.85	₹ 15.90	₹ 16.75
Depreciation and Amortisation Expense	₹ 22.40	₹ 19.85	₹ 17.10
Other Expenses	₹ 89.20	₹ 79.05	₹ 68.90
Profit Before Tax	₹ 81.80	₹ 61.40	₹ 48.50
Tax Expense (Current + Deferred)	₹ 22.88	₹ 15.05	₹ 12.40
Profit for the Year (PAT)	₹ 58.92	₹ 46.35	₹ 36.10
Earnings per Equity Share — Basic (₹)	18.47	14.53	11.32
Earnings per Equity Share — Diluted (₹)	18.31	14.40	11.21

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31ST MARCH

Particulars	Fiscal 2026	Fiscal 2025	Fiscal 2024
Net Cash Generated from Operating Activities	₹ 88.40	₹ 72.10	₹ 58.60
Net Cash used in Investing Activities	₹ (42.30)	₹ (35.80)	₹ (28.40)
Net Cash used in Financing Activities	₹ (12.60)	₹ (18.90)	₹ (9.70)

SELECTED NOTES TO ACCOUNTS

Note 2 — Material Accounting Policies (extract): Property, plant and equipment are stated at cost of acquisition or construction less accumulated depreciation and impairment, if any. Depreciation is provided on the straight-line method over the useful lives prescribed under Schedule II to the Companies Act, 2013. Inventories are valued at the lower of cost (weighted average basis) and net realisable value. Revenue from sale of goods is recognised when control of the goods is transferred to the customer, in accordance with Ind AS 115.

Note 38 — Contingent Liabilities and Commitments: (a) Income tax demand of ₹1.85 crore for AY 2021-22 disputed and pending before CIT(Appeals), Pune; (b) GST show-cause notice aggregating ₹0.42 crore relating to alleged input tax credit mismatch for FY 2019-20 (GSTIN 27AABCV1234C1Z5) under adjudication; (c) Bank guarantees outstanding ₹6.20 crore issued in the ordinary course of business; (d) Estimated capital commitments (net of advances) ₹22.30 crore towards the Chakan Unit II expansion referred to in Note 41.

Note 44 — Segment Information: The Company's operations comprise a single reportable business segment, namely manufacture and sale of precision-machined and forged components, as its Chief Operating Decision Maker reviews performance and allocates resources on that basis in accordance with Ind AS 108.

Note 45 — Auditor's Observations: The Statutory Auditors have not qualified their report for Fiscal 2026, Fiscal 2025 or Fiscal 2024. An Emphasis of Matter has been included with respect to the income tax matter referred to in Note 38(a) above; this does not constitute a qualification, reservation or adverse remark.

(This page is intentionally formatted to continue on the reverse — refer Annexures A to F for detailed schedules of Property, Plant & Equipment, Trade Receivables ageing, Related Party Disclosures under Ind AS 24, and Ratio Analysis, bound separately with this Annual Report.)